Field	Value
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Title	Contract Review
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Prepared By	Owner
Approved By	Jacob Honick, Owner
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QP-002 Contract Review

Standards and clause references are guidance only and do not claim certification or standard compliance. Applicable customer, contractual and legal requirements govern accepted work.

1. Purpose

Define the process for reviewing customer inquiries, purchase orders, and amendments to ensure all requirements are understood and achievable before accepting work.

2. Scope

Applies to all new inquiries, quotations, purchase orders, PO amendments, and verbal orders accepted by the shop.

3. Responsibilities

Role	Responsibility
Shop Owner	Perform contract review for all incoming work. Accept or reject orders based on capability assessment. Communicate with customers to resolve requirement ambiguities.

4. References

- QF-001 — Contract Review Checklist

- QP-005 — Production Planning and Control
- QP-003 — Purchasing and Supplier Management
- AS9100 Rev D Clause 8.2

5. Definitions

- **Contract:** Any agreement to supply product, including purchase orders, verbal orders, quotation acceptances, and amendments.
- **Feasibility Review:** Evaluation of whether the shop can meet all technical, delivery, and quality requirements with available resources.

6. Procedure

Receipt of Inquiry or Purchase Order

1. Upon receiving a new inquiry, RFQ, or purchase order, initiate QF-001 Contract Review Checklist.
2. Log the inquiry in the job tracking system with date received, customer name, and part identification.

Requirement Identification

1. Review the order package and identify all requirements:
    - Drawing number and current revision
    - Material specification and availability
    - All dimensional tolerances — verify achievable with available equipment
    - Special processes required (heat treat, plating, NDT) — confirm approved suppliers available
    - Tooling and gauge requirements
    - Delivery date — assess against current workload and capacity
    - First Article Inspection (FAI) requirements
    - Traceability requirements (lot, heat, serial number)
    - Customer source inspection requirements
    - Applicable statutory and regulatory requirements not stated by the customer (e.g., ITAR/EAR export controls, FAR/DFARS clauses, material conformance regulations)
    - Requirements that must be flowed down to external providers (material suppliers, special process suppliers) — communicate to Purchasing per QP-003
    - Export control classification (ITAR/EAR screening)
    - Pricing and payment terms acceptability

Feasibility Assessment

1. Evaluate each requirement on QF-001. Mark each item as Met, Not Met, or Requires Clarification.
2. If any requirement cannot be met, determine if a waiver or alternative approach is acceptable to the customer.
3. Contact the customer to resolve any ambiguities, missing information, or requirements that cannot be met as stated.

Risk Consideration

1. Consider the following risk factors during review:
    - New customer (no history of requirements clarity)
    - Tight tolerances at machine capability limits
    - New material or process not previously run
    - Short delivery with limited schedule margin
    - High-value material with no replacement availability
2. Document significant risks on QF-001 and plan mitigations before acceptance.

Order Acceptance or Rejection

1. Accept the order only when ALL requirements on QF-001 are verified as achievable.
2. If rejecting, notify the customer with specific reasons and offer alternatives where possible.
3. Sign and date QF-001 to document the acceptance decision.

Amendments and Changes

1. When a PO amendment is received, perform a new review of the changed requirements using QF-001.
2. Assess the impact of changes on work already in progress (material ordered, operations completed).
3. Notify the customer if the amendment affects delivery, cost, or previously completed work.
4. Document the amendment review on a new QF-001 referencing the original PO number.

Verbal Orders

1. If verbal orders are accepted, document the requirements on QF-001 immediately during the call.
2. Request written confirmation (email or PO) within 24 hours. Do not begin production until written confirmation is received.

7. Records Generated

Form No.	Title	When Completed
QF-001	Contract Review Checklist	For every new order, amendment, or verbal order accepted

8. Revision History

Rev	Date	Description	Approved By
A	2026-08-07	Initial release	Shop Owner

Revision B Approval

Approved 2026-11-05 by Jacob Honick, Owner. Standardize control metadata and annual review, remove fixed page counts and align applicable references and wording.